

ACME GENERAL INSURANCE COMPANY LIMITED

Motor Shield Private Car Package Policy - Policy Wording

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Effective from 01/04/2026 to 31/03/2027

PREAMBLE

This Policy witnesses that, in consideration of the premium paid, Acme General Insurance Company Limited will indemnify the Insured against loss or damage to the vehicle described in the Schedule, and against liability to third parties, during the Policy Period.

SECTION 1 - DEFINITIONS

1.1 Insured Declared Value

The Insured Declared Value is the sum arrived at by applying the depreciation schedule to the manufacturer's listed selling price of the vehicle, and represents the maximum liability of the Company in the event of total loss or theft.

1.2 No Claim Bonus

No Claim Bonus means the discount on the own damage premium allowed at renewal in recognition of a claim-free Policy Period.

1.3 Total Loss

A vehicle is treated as a total loss where the aggregate cost of retrieval and repair exceeds seventy-five per cent of the Insured Declared Value.

SECTION 2 - OWN DAMAGE

2.1 Scope of Cover

The Company shall indemnify the Insured against loss of or damage to the vehicle and its accessories caused by accidental external means, fire, explosion, self-ignition, lightning, burglary, housebreaking, theft, riot, strike, malicious act, terrorist activity, earthquake, flood, storm, and by accident in direct transit by road, rail, inland waterway, lift, elevator or air.

2.2 Depreciation on Parts

In the event of a partial loss, depreciation shall be deducted on the cost of replacement of parts in accordance with the schedule set out in clause 2.3, irrespective of the age of the vehicle.

2.3 Depreciation Schedule

Part category	Rate of depreciation
Rubber, nylon and plastic parts, tyres, tubes, batteries	50%
Fibre glass components	30%
Parts made of glass	Nil
All other parts - vehicle up to 6 months old	Nil
All other parts - vehicle 6 months to 1 year	5%
All other parts - vehicle 1 to 2 years	10%
All other parts - vehicle 2 to 3 years	15%
All other parts - vehicle exceeding 5 years	50%

SECTION 3 - LIABILITY TO THIRD PARTIES

3.1 Scope

The Company shall indemnify the Insured against all sums which the Insured becomes legally liable to pay in respect of the death of or bodily injury to any person, and damage to property belonging to a third party, caused by or arising out of the use of the vehicle.

3.2 Limits

Liability in respect of death or bodily injury is unlimited as required by law. Liability in respect of damage to third party property is limited to seven lakh fifty thousand rupees.

SECTION 4 - NO CLAIM BONUS

Claim-free Policy Periods	Discount on own damage premium
1 claim-free year	20%
2 consecutive claim-free years	25%
3 consecutive claim-free years	35%
4 consecutive claim-free years	45%
5 consecutive claim-free years	50%

No Claim Bonus is lost if a claim is made during the Policy Period, and is forfeited if the Policy is not renewed within ninety days of expiry.

SECTION 7 - EXCLUSIONS

7.1 Consequential Loss and Wear

Consequential loss, depreciation, wear and tear, mechanical or electrical breakdown, failures or breakages are excluded. Damage to tyres and tubes is excluded unless the vehicle is damaged at the same time, in which case liability is limited to fifty per cent of the cost of replacement.

7.2 Driving Without a Valid Licence

Loss or damage caused while the vehicle is being driven by any person who is not holding an effective driving licence, or who is disqualified from holding one, is excluded.

7.3 Driving Under the Influence

Loss or damage caused while the vehicle is being driven by a person under the influence of intoxicating liquor or drugs is excluded in all circumstances.

7.4 Use Contrary to Limitations

Loss or damage arising while the vehicle is used otherwise than in accordance with the Limitations as to Use stated in the Schedule, including use for hire or reward, carriage of goods other than samples, organised racing, pace making, speed testing or reliability trials, is excluded.

SECTION 8 - CLAIMS PROCEDURE

8.1 Intimation

Notice of any accident, loss or damage must be given to the Company in writing immediately and in any event within forty-eight hours of the occurrence. In the event of theft, a First Information Report must be lodged with the police without delay.

8.2 Cashless Repair

Where the vehicle is repaired at a garage in the Company's network, the Company shall settle the admissible amount directly with the garage, and the Insured shall bear the compulsory deductible, depreciation and any inadmissible items.

8.3 Compulsory Deductible

A compulsory deductible of one thousand rupees applies to each and every own damage claim for private cars exceeding 1500 cc, and of two thousand rupees for vehicles below that engine capacity.